rationale for postponement, it helped set the stage for tapering start smoothly in December 2013, without disrupting markets. In contrast, with volatility hitting emerging markets after the Argentinian problems in January 2014, the Fed policy statement in January 2014, with no mention of concern about the emerging market situation, and with no indication Fed policy would be sensitive to conditions in those markets in the future, sent the probably unintended message that those markets were on their own. Speeches by regional Fed presidents emphasizing the Fed's domestic mandate did not help. Since then, Fed communication has been more nuanced, though the real challenge in communication lies ahead when policy rates have to move up.

INTERNATIONAL SAFETY NETS

Emerging economies have to work to reduce vulnerabilities in their economies, to get to the point where, like Australia, they can allow exchange rate flexibility to do much of the adjustment for them to capital inflows. But the needed institutions take time to develop. In the meantime, the difficulty for emerging markets in absorbing large amounts of capital quickly and in a stable way should be seen as a constraint, much like the zero lower bound, rather than something that can be altered quickly. Even while resisting the temptation of absorbing flows, they will look to safety nets.

So another way to prevent a repeat of substantial reserve accumulation is to build stronger international safety nets. As the financial crisis suggested, this is not just an emerging economy concern. In a world where international liquidity can dry up quickly, the world needs bilateral, regional, and multilateral arrangements for liquidity. Multilateral arrangements are tried and tested, and are available more widely, and without some of the possible political pressures that could arise from bilateral and regional arrangements. Indeed swap arrangements can be channelled through multilateral